

Q3 FY2026 OPERATIONS REVIEW - BOARD SUMMARY
Prepared by the Office of the C00, October 2026.

Headline: Operations delivered 96.1 percent on-time shipment performance in Q3, below the 97 percent target, driven mainly by Northwind Logistics missing its service level in July and August (94.8 and 95.3 percent). September recovered to 97.4 percent.

Supply chain risk: Our dependency on Contoso Components for circuit boards remains the single largest risk. Contoso supplies 100 percent of our controller boards and a two-week outage would halt two of our five production lines. A second source, Litware Electronics, is in qualification and is expected to be approved in Q1 FY2027.

Cost: Freight costs rose 8 percent year on year, mostly fuel surcharges. Procurement expects USD 350,000 in savings from renegotiating the Northwind agreement before its renewal window.

Recommendation to the board: Approve the dual-sourcing programme for controller boards with a budget of USD 1.2 million, and authorise the C00 to open renegotiation with Northwind.